

Understanding Olist

Company research, data findings, and a proposed solution — Olist Brazilian E-commerce (2016–2018)

1. Who Olist Is

Olist is a Brazilian company that connects small and medium sellers to major online marketplaces (Mercado Livre, Americanas, Amazon, etc.) through one single contract, instead of each seller managing every marketplace separately. It was founded by Tiago Dalvi and started in 2007 as 'Solidarium' before becoming 'Olist' in 2015.

The real customer is the seller, not the shopper. The end buyer purchases from the marketplace (e.g. Mercado Livre) and never really deals with Olist directly.

2. How the Business Works

- Sellers list their products through Olist.
- Products appear across marketplaces under one storefront: 'Olist Store'.
- A shopper buys without knowing who the original seller is.
- Olist coordinates pickup and delivery through outside logistics partners and Correios (no own delivery fleet at this stage).
- After delivery, the buyer rates the experience 1–5 stars.

3. How Olist Made Money

Two revenue streams (confirmed by a 2017 interview with founder Tiago Dalvi):

- A subscription fee: roughly R\$299 per quarter up to R\$1,075 per year.
- A 20% commission on every sale made through the platform.

4. Key Risks in the Model

- Shared reputation: all sellers trade under one 'Olist Store' rating, so one seller's mistake hurts everyone.
- No owned logistics: delivery depends entirely on outside partners.
- Weak customer loyalty (hypothesis): shoppers are loyal to the marketplace, not to Olist.

5. What the Data Shows (7 Findings)

Finding	Number	What it means
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Repeat purchase rate	3.12%	Very low — confirms shoppers rarely come back to Olist specifically.
Orders delivered late	6.77%	A small share of orders, but with a big impact on ratings.
Review score, on-time vs. late	4.28 → 2.26	The strongest pattern in the whole dataset.
Revenue from top 10% of sellers	67.5%	Most revenue depends on a small group of sellers.
Customers based in São Paulo state	42%	Business is heavily concentrated in one region.
Average freight cost vs. product price	16.6%	Shipping is often expensive relative to what's being shipped.
Items where freight costs more than the product	4,124	A clear sign of freight-pricing problems.

6. The Problem Worth Solving

Olist only learns about a late delivery after it already happened — once the damage to the rating is done. Because every seller shares one storefront rating, a single delay hurts the whole platform, and this risk falls hardest on the top sellers who generate most of the revenue.

7. Proposed Solution: Predictive Delivery Risk Model

A lightweight model that estimates, right when an order is placed, how likely it is to arrive late — using data Olist already has (seller, product category, buyer location, purchase date). High-risk orders can then be acted on before the delay happens:

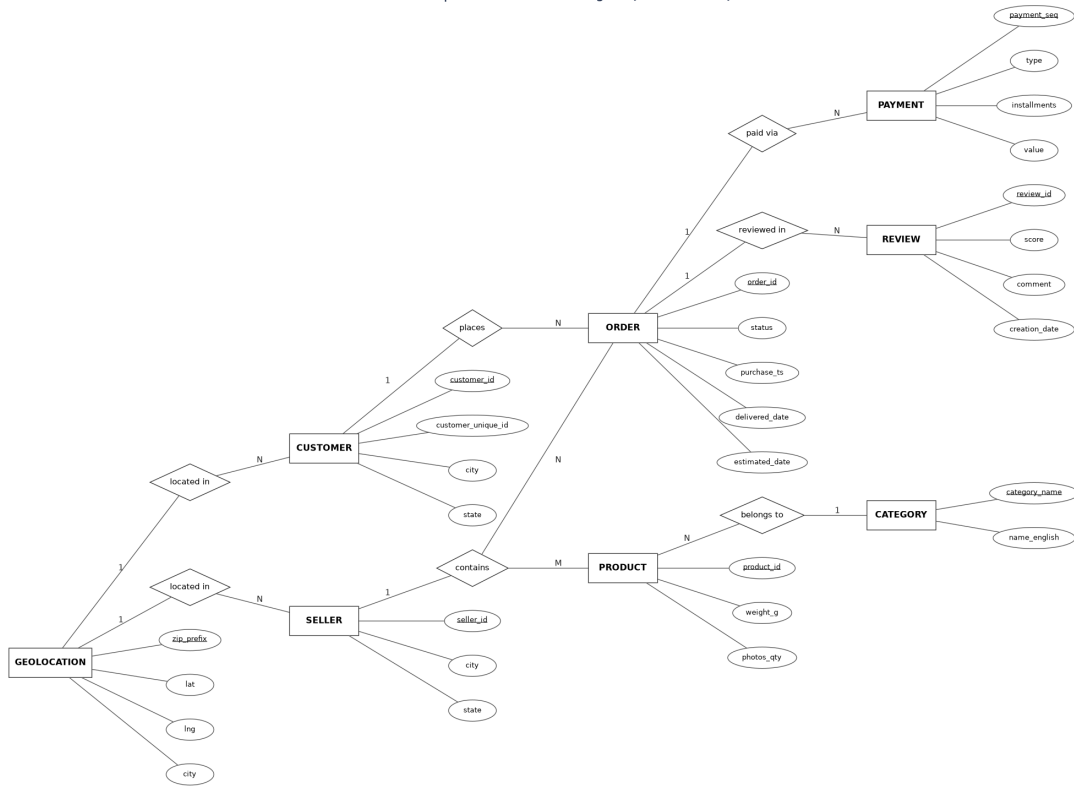
- Nudge the seller to ship immediately.
- Upgrade the shipping carrier only for flagged high-risk orders.
- Proactively tell the customer a realistic delivery window.

This directly targets the 6.77% of orders that go late and the review-score drop (4.28 → 2.26) they cause, using data Olist already collects — no new integrations needed.

8. Dataset Structure (ER Diagram)

The diagram below shows how the main tables in the Olist dataset relate to each other — customers, sellers, orders, products, payments, and reviews.

HVIA Task 01 | Olist Dataset — ER Diagram (Chen Notation)



Entity-Relationship Diagram — Olist Dataset (Chen Notation)

Sources: Kaggle Olist dataset (context section), mercadoeconsumo.com.br (2017), LAVCA interview with Tiago Dalvi, Valor Capital Group case study, InfoMoney, Diário do Comércio, BrazilJournal, Seedtable.

9. Outreach Message

The following is a short, professional message that could be sent to a relevant decision-maker to introduce the findings above and propose a short call.

Hi HVIA,

My name is Shahd, and I recently spent time analyzing Olist's public order dataset (2016–2018) as part of a data analysis project. I wanted to share a few things I found, since I think they point to a real, addressable problem.

Working through the orders, reviews, and seller data, one pattern stood out clearly: orders that are delivered late see their average review score drop from 4.28 to 2.26 — almost cut in half. Because every seller on the platform trades under the same shared “Olist Store” rating, a delay caused by a single seller doesn’t stay contained to that seller — it drags down the reputation the whole marketplace relies on. This risk is especially important given that just 10% of sellers generate about 67.5% of total revenue, so protecting delivery reliability for these top accounts has an outsized effect on the business.

Based on this, I put together a short proposal for a Predictive Delivery Risk Model: a lightweight model that estimates, at the moment an order is placed, how likely it is to arrive late, using data that is already collected (seller, product category, buyer location, and purchase date). Orders flagged as high-risk could then be handled proactively — for example, nudging the seller to ship sooner, upgrading the shipping method, or giving the customer a more realistic delivery estimate — before the delay actually happens and damages the rating.

Thank you for your time and consideration.

*Best regards,
Shahd*